US supreme court upholds Obamacare after Republicans seek to gut law

By Jessica Glenza

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The US supreme court has upheld the Affordable Care Act, better known as Obamacare, after Republicans attempted to gut an important provision of the law during the Trump era. In a 7-2 decision, the court ruled Republican states ultimately did not have "standing" or the right to sue. The ruling avoided the issue of whether the tax provision of the law called the "individual mandate", and therefore the entire law, was unconstitutional.

The ACA was the most important health reform law in generations and was Barack Obama's signature legislative achievement during his time in the White House. However, the provision over which Republican states sued, the individual mandate, has long been a sore spot for many Americans.

Supporters of Obamacare, from health insurance plans to advocacy groups to the Democratic House speaker, Nancy Pelosi, quickly heralded the court's decision as preserving a "lifeline" in a "devastating" pandemic.

"Today, the court ensured that the ACA will continue to be a critical lifeline for the people most in need by rejecting yet another frivolous challenge," said Lambda Legal senior attorney and healthcare strategist Omar Gonzalez-Pagan. Lambda is a civil rights group which focuses on the LBGTQ community.

The individual mandate required tax authorities to penalize Americans with a $695 fee if they failed to buy health insurance. At the time, Congress passed the provision hoping it would expand insurance coverage, making it more affordable for insurance companies and Americans.

The mandate immediately became a target for Republicans, leading to a disastrous midterm election for Democrats, nearly a decade of rhetoric calling for the law's repeal and sustained legal attacks.

When Donald Trump swept into power in 2016, Republicans tried to make good on promises to overturn the law. However, provisions protecting women, the disabled, the poor and sick proved too controversial to overcome, and the legislation was sunk in a dramatic vote.

As a result, Republicans attacked the individual mandate in a tax-cutting measure – they reduced the penalty from $695 to $0 in a 2017 tax cut bill that disproportionately benefited the wealthy. In turn, Republican states, led by Texas, argued the individual mandate was unconstitutional if it did not raise revenue, and sued to overturn it.

Had Republicans prevailed in their attempt to strike down the entire law, protections for an estimated 133 million Americans with "pre-existing" health conditions would have ended, potentially disqualifying them from health insurance. An estimated 21 million people might have lost health insurance, among them 12 million low-income people who obtain health insurance through the public program Medicaid. Insurance companies would also have been able to lift spending caps on expensive health treatments.

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